

Green / Yellow / Red AI Use Rules

Company: [COMPANY NAME]

Policy owner: [AI GOVERNANCE LEAD]

Effective date:

Review cadence: Quarterly or when approved tools materially change

How to use. This is the short staff-facing version of the AI Acceptable Use Policy. Adapt it, publish it where your team works, and link back to the full policy for details.

Plain-English rule

Use AI for low-risk help. Pause and ask before using AI with sensitive data, customers, or important decisions. Do not use AI for prohibited data, deception, legal conclusions, regulated decisions, or anything you would not be comfortable explaining to a customer, regulator, or manager.

Green uses - generally allowed with approved tools

Green uses are low-risk tasks where the input is public, non-sensitive, or already approved for the tool.

Examples:

- Brainstorming titles, outlines, checklists, or internal ideas
- Rewriting public or non-confidential text for clarity
- Summarizing public articles, public documentation, or internal notes that contain no sensitive data
- Creating first drafts that a person will review before use
- Learning how to use a software feature
- Generating sample language that will be checked before sending
- Coding assistance that does not include secrets, credentials, customer data, or restricted source code

Green-use rules:

- ☐ Use only approved AI tools
- ☐ Review output before using it
- ☐ Do not paste sensitive data unless the tool is approved for that data
- ☐ Check facts, citations, numbers, and claims before relying on them
- ☐ Add the tool or workflow to the inventory if it becomes recurring

Yellow uses - ask first or use the intake path

Yellow uses may be allowed, but they need review because the data, audience, or business impact is higher.

Examples:

- Customer-facing content, support replies, chatbot scripts, or sales outreach
- Summaries of customer calls, employee notes, student records, or user feedback
- Vendor tools that connect to email, CRM, documents, code repositories, databases, or production systems
- AI output used in pricing, ranking, prioritization, eligibility, or recommendations
- Drafts about legal, financial, medical, employment, education, housing, insurance, or regulated topics
- Marketing claims about what an AI product can do
- Uploading non-public business information to an AI vendor
- Using AI-generated images, audio, video, or synthetic media in external materials

Yellow-use rules:

- ☐ Ask the AI owner or manager before use

- ☐ Complete the AI Tool Approval Mini-Checklist or AI Risk Intake and Impact Assessment if requested
- ☐ Confirm whether the vendor uses inputs for training
- ☐ Confirm human review before external or important use
- ☐ Record any approval conditions in the inventory

Red uses - do not do this without explicit approval

Red uses are prohibited unless leadership and qualified reviewers approve a specific exception. Some may be prohibited entirely.

Examples:

- Pasting passwords, API keys, credentials, private keys, or security secrets into AI tools
- Pasting customer, employee, student, patient, financial, biometric, health, legal, or regulated data into unapproved AI tools
- Using AI to make final decisions about hiring, firing, pay, credit, insurance, housing, healthcare, education, benefits, legal rights, or government services without approved review
- Letting AI impersonate a person without disclosure
- Creating deceptive, misleading, discriminatory, harassing, sexual, violent, or unlawful content
- Bypassing approved tools by using personal accounts for restricted work
- Uploading confidential third-party information, NDA materials, or trade secrets to unapproved tools
- Relying on AI for legal, medical, financial, safety, or compliance conclusions without qualified review
- Connecting an AI agent to take actions in production systems without explicit approval and monitoring

Red-use rules:

- ☐ Stop the activity
- ☐ Do not upload the data or launch the workflow
- ☐ Ask the AI owner, manager, legal, privacy, security, or leadership contact for review
- ☐ Record the issue if it already happened

Quick decision guide

Question	If yes
Is the tool approved for this use?	If no, ask first
Is the input public or non-sensitive?	If no, treat as yellow or red
Could the output affect a person, customer, or legal/regulatory obligation?	Use intake path
Will this be published externally?	Human review required
Would you be uncomfortable if a customer saw the prompt or output?	Ask first
Does the AI take action on its own?	Explicit approval required

Where to ask questions

AI owner: [NAME / EMAIL]

Privacy/security contact: [NAME / EMAIL]

Legal/compliance contact: [NAME / EMAIL]

Internal channel: [SLACK / TEAMS CHANNEL]

When in doubt, ask before uploading data or launching a workflow.

Staff acknowledgment

I understand the Green / Yellow / Red AI Use Rules. I will use approved AI tools only for permitted purposes, avoid restricted data unless approved, review AI output before use, and escalate uncertain or higher-risk uses.

Name:

Signature:

Date:

Disclaimer

This document is a template for educational and informational purposes only. It is not legal advice and does not create an attorney-client relationship. Consult qualified counsel before relying on these rules for compliance decisions.